NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH(COURT-II), CHANDIGARH

CP (CAA) No. 11/Chd/HP/2024
(2nd Motion)

Under Sections 230 & 232 read with Sections 52 & 66 of the Companies Act, 2013, the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016, and the National Company Law Tribunal Rules, 2016

IN THE MATTER OF THE SCHEME OF ARRANGEMENT OF:

AIPL Zorro Pvt Ltd
with its registered office at
Flat No. A-102, Block A,
High Valley Apartments,
Barotiwala, Kasauli,
Solan-174 103, Himachal Pradesh
CIN: U24100HP2010PTC010251
PAN: AAICA5710E

... Petitioner No. 1/Demerged Company No. 1

Ajit Industries Pvt Ltd
with its registered office at
Flat No. A-102, Block A,
High Valley Apartments,
Barotiwala, Kasauli,
Solan-174 103, Himachal Pradesh
CIN: U33112HP1998PTC010250
PAN: AACCA4913D

.... Petitioner No. 2/Resulting Company No. 1/
Demerged Company No. 2

AIPL Warehousing Pvt Ltd
with its registered office at
Kila No. 4/18/2/2, 19/1/2, 1,
Village Nizampur Khurd,

Kharkhoda, Sonipat-131 402, Haryana
CIN: U52109HR2023PTC114240
PAN: AAZCA2407K

.... Petitioner No. 3/Resulting Company No. 2

Order pronounced on: 21.03.2025

CORAM: HON'BLE KHETRABASI BISWAL, MEMBER (JUDICIAL)
HON'BLE KAUSHALENDRA KUMAR SINGH,MEMBER(TECHNICAL)

Present:

For the Petitioners:	Mr Rajeev K Goel, Advocate Mr Kartikeya Goel, Advocate
For Income Tax Department:	Ms Gauri Neo Rampal, Sr. Standing Counsel

Per: Mr. Khetrabasi Biswal, Member (Judicial)
Mr. Kaushalendra Kumar Singh, Member (Technical)

ORDER

1. This is a joint second motion Petition filed on 12.04.2024 by Petitioner Companies namely; **AIPL Zorro Pvt Ltd** (Demerged Company No. 1), **Ajit Industries Pvt Ltd** (Resulting Company No. 1/Demerged Company No. 2) and **AIPL Warehousing Pvt Ltd** (Resulting Company No. 2) under Sections 230 & 232 of the Companies Act, 2013 read with Sections 52 & 66 of the Companies Act, 2013, the Companies (Compromises, Arrangements And Amalgamations) Rules, 2016, and other applicable provisions, if any for sanctioning of the Composite Scheme of Arrangement. The said

Composite Scheme is attached as Annexure: P-1 with the Company Petition.

2. The Composite Scheme of Arrangement provides the following:

   i. Demerger-1 being the demerger of Import, Converting and Trading Business of AIPL Zorro Pvt Ltd into Ajit Industries Pvt Ltd on a going concern basis.

   ii. Demerger-2 being the demerger of Warehousing and Logistics Business of Ajit Industries Pvt Ltd into AIPL Warehousing Pvt Ltd on a going concern basis; and

   iii. Various other matters incidental, consequential or otherwise integrally connected with the aforesaid Demerger-1 & 2.

3. The Petitioner Companies filed first motion Application being CA (CAA) 44/Chd/HP of 2023 before this Tribunal to obtain appropriate orders to dispense/convene meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors, as the case may be, of these Companies for the purpose of the considering and approving, the aforesaid Composite Scheme of Arrangement. The 1st Motion Petition was allowed vide Order dated 10th January, 2024 wherein the requirement of convening of meetings of the 'Class A' and 'Class B' Equity Shareholders of the Demerged Company No. 1; 'Class A' Equity Shareholders of the Resulting Company No. 1/Demerged Company No. 2; and Equity Shareholders and Unsecured Creditors of the Resulting Company No. 2 were dispensed with. This Tribunal, further, directed to convene separate meetings of Secured Creditors and Unsecured Creditors of the Demerged Company No. 1 and the Resulting Company No.

1/Demerged Company No. 2, through video conferencing with facility of remote e-voting, to consider and approve the Composite Scheme of Arrangement. The Resulting Company No. 2 does not have any Secured Creditor.

4. The main objects, date of incorporation, authorized and paid-up share capital, and the rationale of the Composite Scheme had been discussed in detail in the first motion order dated 10th January, 2024.

5. The Board of Directors of the Petitioner Companies vide their respective Board resolutions dated 28.08.2023 have considered and unanimously approved the proposed scheme subject to the approval of the creditors and the sanctioning of the same by this Tribunal. The certified true copy of the Board Resolution approving the scheme of the Petitioner Companies is attached as Annexure P-6, Annexure P-13 and Annexure P-18 respectively of the petition.

6. In compliance of the directions issued by this Tribunal, separate meetings of Secured Creditors and Unsecured Creditors of the Demerged Company No. 1 and the Resulting Company No. 1/Demerged Company No. 2 were duly convened and held on 28th March, 2024 through Video Conferencing with facility of remote e-voting. The Chairperson, Alternate Chairperson and Scrutinizer have filed their Reports. As per Chairperson's Reports, the Composite Scheme of Arrangement was considered and approved unanimously in all the aforesaid meetings.

7. Certain directions were issued by this Tribunal vide order dated 2nd July, 2024 and in compliance of such directions, an affidavit of compliance was filed vide diary No. 01254/1 dated 6th August, 2024. The notice of hearing was published in "Hindustan Times" (English, Delhi NCR & Chandigarh Editions), "The Tribune" (English, Himachal Pradesh & Haryana Editions) and "Dainik Bhaskar" (Hindi, Himachal Pradesh & Haryana Editions) all dated 19th July, 2024. The original copies of the newspapers are attached as Annexure-1 of the aforesaid affidavit. It has also stated in the affidavit that copies of notices were served upon the Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; New Delhi, Registrar of Companies, Chandigarh; and Income Tax Department through the Nodal Officer-Principal Chief Commissioner of Income Tax, NWR, Aaykar Bhawan, Sector 17-E, Chandigarh as well as in the respective Circle/Ward of the Income Tax Office where the Petitioner Companies are assessed, by way of hand delivery and speed post, as the case may be. Copy of table of service, notices sent to authorities, speed post receipts, and tracking report of the notices are attached as Annexures-2 of the aforesaid affidavit.

8. It is also deposed by the authorised signatories of the Petitioner Companies that they have not received any objection from the public till date, after the publication of the aforementioned advertisement on 19th July, 2024. The aforesaid affidavits were filed vide diary No. 01254/2 dated 7th August, 2024.

9. In response to the abovementioned notices, the statutory authorities have furnished their Reports:

9.1 Regional Director (RD) and Registrar of Companies (ROC)

The report of the Regional Director (RD) along with the report of Registrar of Companies (RoC) has been filed with the Tribunal vide diary No. 01254/3 dated 8th August, 2024. The RD in its report has observed that as per the report of the Registrar of Companies, all the Companies have filed their Balance Sheets and Annual Returns upto 31.03.2023. No prosecution has been filed and no inspection or investigation has been conducted in respect of any of the Petitioner Companies. No objection has been raised by the Regional Director and the Registrar of Companies on the Composite Scheme of Arrangement.

9.2 Income Tax Department

The Income Tax Department has confirmed that there are no pending proceedings or dues in any of Petitioner Companies and has given its No Objection to the proposed Composite Scheme of Arrangement. The Reports of the Income Tax Department have been filed with this Tribunal as per the following detail:

Sl. No.	Name of the Company	Diary No. and Date
1.	AIPL Zorro Pvt Ltd	Diary No. 01254/4 dated 15th October, 2024 Diary No. 01254/8 dated 24th October, 2024
2.	Ajit Industries Pvt Ltd	Diary No. 01254/6 dated 16th October, 2024 Diary No. 01254/9 dated 24th October, 2024
3.	AIPL Warehousing Pvt Ltd	Diary No. 01254/7 dated 15th October, 2024

The Petitioner Companies have filed undertaking by the way of separate affidavits vide diary No. 01254/10 dated 25th November,

2024 confirming that none of the Petitioner Companies are a matter of dissolution pursuant to the Composite Scheme of Arrangement and that the Composite Scheme will not adversely affect the rights of recovery of the Income Tax Department, or any enquiry, investigation, scrutiny, or other proceedings, if any, being carried out by Income Tax Department against any of the Petitioner Companies. The Petitioner Companies have undertaken to pay any past, present or future demand/dues that may be raised by the Income Tax Department or any other Appropriate Authority, in terms of the applicable provisions of law, subsequent to the sanction of the Scheme by this Tribunal.

10. The Petitioner Companies had filed an affidavit confirming change of Appointed Date for the Composite Scheme of Arrangement vide diary No. 01254/11 dated 25th November, 2024. The submissions of the Petitioner Companies to this effect are encapsulated in the following table:

Sl. No.	Particulars	Submissions of the Petitioner Companies
1.	New appointed date for the Scheme of Arrangement	a. The Composite Scheme of Arrangement was approved by the respective Board of Directors of the Demerged Company No. 1, the Resulting Company No. 1/Demerged Company No. 2 and the Resulting Company No. 2 in their Board meetings held on 28th August, 2023. The Appointed Date was, accordingly, fixed as 1st September, 2023. The 1st motion Application was filed before the NCLT on 30th August, 2023. b. The Scheme provides that the Appointed Date in the following manner: ***1.1*** *"Appointed Date" for the purpose of this Scheme means commencement of business on 1st September, 2023; or such other date as may be decided by*

		the Board of Directors of the Demerged Company No. 1, the Resulting Company No. 1/ the Demerged Company No. 2 and the Resulting Company No. 2 with the approval of the Hon'ble National Company Law Tribunal; or such other date as the Hon'ble National Company Law Tribunal or any other competent authority may approve. c. The Demerged Company No. 1, the Resulting Company No. 1/Demerged Company No. 2 and the Resulting Company No. 2 were conscious of the fact that more than one year has passed since the Appointed Date was fixed for the Scheme. The Petitioner Companies were required to finalise their Audited Financial Statements for the year ended 31st March, 2024 and present the same before their respective Annual General Meetings latest by 30th September, 2024 and file with the Registrar of Companies and other Statutory Authorities, as may be applicable, within the prescribed time period. d. Accordingly, the respective Board of Directors of the Petitioner Demerged Company No. 1, the Resulting Company No. 1/Demerged Company No. 2 and the Resulting Company No. 2 in the held on 4th September, 2024 have unanimously approved the change in the Appointed Date of the Scheme to 1st April, 2024 for the purpose of the aforesaid Scheme of Arrangement.

		e. Accordingly, the appointed date for the Scheme of Arrangement is changed to 1st April, 2024. Copies of the Board Resolution dated 4th September, 2024, passed by the Board of Directors of the Petitioner Companies approving new 'Appointed date' for the purpose of the Scheme of Arrangement are marked as Annexure: A of the affidavit. f. The Petitioner Demerged Company No. 1, the Resulting Company No. 1/Demerged Company No. 2 and the Resulting Company No. 2 have finalized and filed their Audited Financial Statements for the year ended 31st March, 2024 with the ROC, since then. Copies of the Audited Financial Statements for the year ended 31st March, 2024 of all the Petitioner Companies are marked as Annexure: B of the affidavit.
2.	Reduction of shares of the Resulting Company No. 2 is in compliance with the provisions of Section 66 of the Companies Act, 2013	a. The present issued and paid-up share capital of the Resulting Company No. 2 is ₹1,00,000 divided into 10,000 Equity Shares of ₹10 each, which is beneficially owned by the Demerged Company No. 2. In terms of the provisions of the Scheme, the Resulting Company No. 2 will issue Equity Shares to the Equity Shareholders of the Demerged Company No. 2 as on the Record Date-2. However, it is proposed that upon the Scheme becoming effective, all the Equity Shareholders of the Demerged Company No. 2 as on the Record Date-2 will hold the entire issued and paid-up share capital of the Resulting Company No.

		2 in the same proportion and manner as in the Demerged Company No. 2, as on the Record Date-2. In other words, post-Scheme, the Resulting Company No. 2 will have 100% mirror Shareholding as that of the Demerged Company No. 2 as on the Record Date-2. b. To achieve the aforesaid objective, upon the Scheme becoming effective, entire pre-Scheme issued and paid-up share capital of the Resulting Company No. 2 shall stand cancelled, without any payment being made to any shareholder against such cancellation. It is clarified that the Resulting Company will not make any payment to any Shareholder against such cancellation. c. Further, cross holding of shares as on the Record Date-2 between the Demerged Undertaking of the Demerged Company No. 2 and the Resulting Company No. 2, if any, shall stand cancelled. d. In terms of the applicable Accounting Standards prescribed under Section 133 of the Companies Act, 2013, and Generally Accepted Accounting Principles, the Demerged Company No. 2 and the Resulting Company No. 2 may utilise their reserves and surplus, including securities premium account, if any, to account for the Demerger-2 in their respective books of accounts. e. It is clarified that the Resulting Company No. 2 will not make any payment to any Shareholder against such cancellation, no creditor of the Resulting Company will be

		adversely affected by such reduction of share capital. f. It is clarified that the proposed cancellation/reduction of share capital; and utilisation of securities premium account and other reserves & surplus of the Demerged Company No. 2 and the Resulting Company No. 2, as the case may be, shall be effected as an integral part of the Scheme only. Approval of this Scheme by the Shareholders and/or Creditors of the Demerged Company No. 2 and the Resulting Company No. 2, as the case may be, and sanction by the Tribunal under Sections 230 & 232 of the Companies Act, 2013, shall be sufficient compliance with the provisions of Sections 52 and 66 of the Companies Act, 2013, and other applicable provisions, if any, for the aforesaid matters. g. It is further clarified that the aforesaid cancellation/ reduction of share capital; and utilisation of securities premium account and other reserves & surplus will not involve either the diminution of any liability in respect of unpaid share capital, or payment to any shareholder of any paid-up share capital. None of the Demerged Company No. 2 and the Resulting Company No. 2 is proposing any buy-back of shares from their respective shareholders. Accordingly, none of the Demerged Company No. 2 and the Resulting Company No. 2 will be required to use the words "and reduced" as part of their respective corporate names upon sanction of the Scheme.

		h. It is further submitted that the last explanation to Section 230 of the Companies Act, 2013, provides that: *"For the removal of doubts, it is hereby declared that the provisions of section 66 shall not apply to the reduction of share capital effected in pursuance of the order of the Tribunal under this section".* i. It is confirmed that the Resulting Company No. 2 has never accepted any Public Deposit or issued any debentures. Hence, there is no question of any default in payment of interest or principal amount of Public Deposit, Debentures or towards any bank or Financial Institution. All the Shareholders of the Demerged Company No. 1, Resulting Company No. 1/Demerged Company No. 2 and the Resulting Company No. 2 have already given their Consent Affidavits for the Scheme of Arrangement including the proposed cancellation of paid-up share capital of the Resulting Company No. 2 without any payment being made to any Shareholders. j. Without prejudice to the provisions of Section 230 of the Companies Act, 2013, it is confirmed that the proposed Cancellation/ Reduction of Share Capital of the Resulting Company No. 2 is in compliance with the provisions of Section 66 of the Companies Act, 2013.

11. Additional affidavit was filed vide diary no. 01254/12 dated 09.12.2024 to place on record bifurcated balance sheets of the Demerged Company 1 and 2, giving financial position of the Demerged business and remaining business.

12. The certificate of the Statutory Auditors with respect to the Composite Scheme between Petitioner Companies to the effect that the accounting treatment proposed in the Composite Scheme is in compliance with applicable Indian Accounting Standards (Ind AS) as specified in Section 133 of the Act, read with Rules thereunder and other Generally Accepted Accounting Principles was filed as Annexure: P-20 with the this Petition.
13. We have heard the learned Counsel for Petitioner Companies and learned Senior Standing Counsel for the Income Tax Department and others and have perused the records carefully.
14. In the context of the above discussion, the Composite Scheme contemplated between the petitioner companies, appears to be prima facie in compliance with all the requirements stipulated under the relevant Sections of the Companies Act, 2013. In the absence of any objections before us and since all the requisite statutory compliance have been fulfilled, this Tribunal sanctions the Composite Scheme of Arrangement appended as Annexure P-1 with this Petition. The Appointed Date for the Scheme shall be 1st April, 2024.
15. Notwithstanding the submission that no investigation is pending against any of the Petitioner Companies, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

16. While approving the Composite Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.
17. While approving the Scheme, we further clarify that this order should not be construed as an order in granting any exemption from payment of stamp duty, taxes including Income Tax, GST, etc., or any other charges if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.
18. The Income Tax Department will be free to examine the aspect of any tax payable as a result of the sanction of the scheme and if it is found that the scheme of arrangement ultimately results in tax avoidance or is not in accordance with the applicable provisions of the Income Tax Act, then the Income Tax Department shall be at liberty to initiate appropriate course of action in accordance with the law. Any sanction of the scheme of arrangement under section 230-232 of the Companies Act, 2013 shall not adversely affect the rights of the Income Tax Department or any past, present or future proceedings and the sanction of the scheme shall not come in its way for the appropriate course of action as per law for the tax liabilities, if any.

19. **THIS TRIBUNAL DO FURTHER ORDER:**

A. Demerger-1: Demerger of Import, Converting and Trading Business of AIPL Zorro Pvt Ltd (Demerged Company No. 1) into Ajit Industries Pvt Ltd (Resulting Company No. 1/ Demerged Company No. 2) on a going concern basis:

a. Upon the Composite Scheme becoming effective, all the property, rights and powers of the Demerged Undertaking of the Demerged Company No. 1 specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Demerged Undertaking of the Demerged Company No. 1 be transferred, without further act or deed, to the Resulting Company No. 1, and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Resulting Company No. 1 for all the estate and interest of the Demerged Undertaking of the Demerged Company No. 1 therein but subject nevertheless to all charges now affecting the same;

b. That all the liabilities and duties of the Demerged Undertaking of the Demerged Company No. 1 be transferred, without further act or deed, to the Resulting Company No. 1, and accordingly the same shall be pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company No. 1;

c. That all the contracts of the Demerged Undertaking of the Demerged Company No. 1 which are subsisting or having effect immediately before the effective date, shall stand transferred to and vested in the Resulting Company No. 1 and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company No. 1 pertaining to Demerged Undertaking, the Resulting Company No. 1 had been a party or beneficiary or obliged thereto;

d. Upon the Composite Scheme becoming effective, all the employees of the Demerged Undertaking of the Demerged Company No. 1, in service on the Effective Date, shall be transferred to and shall become the employees of the Resulting Company No. 1 as provided in the Composite Scheme of Arrangement; and

e. Upon the Composite Scheme becoming effective, proceedings, if any,

now pending by or against the Demerged Undertaking of the Demerged Company No. 1 be continued by or against the Resulting Company No. 1.

B. Demerger-2: Demerger of Warehousing and Logistics Business of Ajit Industries Pvt Ltd (Resulting Company No. 1/Demerged Company No. 2) into AIPL Warehousing Pvt Ltd (Resulting Company No. 2) on a going concern basis:

a. Upon the Composite Scheme becoming effective, all the property, rights and powers of the Demerged Undertaking of the Demerged Company No. 2 specified in the first, second and third parts of the Schedule hereto and all other property, rights and powers of the Demerged Undertaking of the Demerged Company No. 2 be transferred, without further act or deed, to the Resulting Company No. 2, and accordingly, the same shall, pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and vested in the Resulting Company No. 2 for all the estate and interest of the Demerged Undertaking of the Demerged Company No. 2 therein but subject nevertheless to all charges now affecting the same;

b. That all the liabilities and duties of the Demerged Undertaking of the Demerged Company No. 2 be transferred, without further act or deed, to the Resulting Company No. 2, and accordingly the same shall be pursuant to Sections 230 & 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Resulting Company No. 2;

c. That all the contracts of the Demerged Undertaking of the Demerged Company No. 2 which are subsisting or having effect immediately before the effective date, shall stand transferred to and vested in the Resulting Company No. 2 and may be enforced by or against it as fully and effectually as if, instead of the Demerged Company No. 2 pertaining to Demerged Undertaking, the Resulting Company No. 2 had been a party or beneficiary or obliged thereto;

d. Upon the Composite Scheme becoming effective, all the employees of the Demerged Undertaking of the Demerged Company No. 2, in service on the Effective Date, shall be transferred to and shall become the employees of the Resulting Company No. 2 as provided in the Composite Scheme of Arrangement; and

e. Upon the Composite Scheme becoming effective, proceedings, if any, now pending by or against the Demerged Undertaking of the Demerged Company No. 2 be continued by or against the Resulting Company No. 2.

20. The Petitioner Companies are directed to file a certified copy of this Order along with the copy of Scheme with the concerned Registrar of Companies, electronically along with e-form INC-28 in addition to a physical copy in e-form INC-28 within 30 days or an extended timeline with payment of additional fees, as may be applicable, from the date of receipt of the Order. The Scheme will become effective on filing of the copy of this order with the concerned Registrar of Companies.
21. All concerned Authorities are directed to act on a copy of this order along with the Scheme authenticated by the Designated Registrar of this Tribunal, and the Designated Registrar shall issue the certified copy of this order along with the Scheme immediately subject to compliance with all requisite formalities.
22. The legal fees and expenses of the office of the Regional Director are quantified at Rs 20,000/- with respect to each of the petitioner companies. The said fees to the Regional Director shall be paid by the Resulting Companies.
23. As per the aforesaid directions, Form No. CAA-7 of Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, formal orders be issued on the petitioners to the filing of the Schedule of

Properties within three weeks from the date of receiving a certified copy of this order.

24. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Composite Scheme duly authenticated by the Registrar of this Bench.
25. The Company Petition CP (CAA) 11/Chd/HP of 2024 is allowed and disposed of accordingly.
26. The certified copy of this order, if applied for, be supplied to the parties, subject to compliance with all requisite formalities.

Sd/-	**Sd/-**
(Kaushalendra Kumar Singh)	**(Khetrabasi Biswal)**
Member (Technical)	**Member (Judicial)**

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